

GRANULES USA, INC.
REVIEW REPORT
APRIL 1, 2016 to March 31, 2017

Prepared by:

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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

To The Board of Directors and Stockholders
of Granules USA Inc.

We have reviewed the accompanying financial statements of Granules USA, Inc (a Delaware corporation), which comprise the balance sheet as of March 31, 2017, and the related statements of income and statement of changes in stockholders' equity and cash flows for the year then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.



Accountants' Conclusion

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included in Schedules A – Cost of Goods Sold and Schedule B –Selling, General and Administrative Expenses are presented for purposes of additional analysis and is not a required part of the basic financial statements. The information is the representation of management. We have reviewed the information and, based on our review, we are not aware of any material modifications that should be made to the information in order for it to be in accordance with accounting principles generally accepted in the United States of America. We have not audited the information and, accordingly, do not express an opinion on such information.

Chugh CPAs LLP

Chugh CPAs LLP
Santa Clara, CA
May 2, 2017

GRANULES USA, INC
BALANCE SHEET
AS OF MARCH 31, 2017

ASSETS

CURRENT ASSETS

Cash and Cash Equivalents	\$	1,472,353
Accounts Receivable, Net of allowances (Note 6)		13,150,845
Inventory (Note 3)		7,881,149
Advances & Prepaid Expenses		26,136
TOTAL CURRENT ASSETS		22,530,483

PROPERTY & EQUIPMENT

Property & Equipment, at cost (Note 4)		253,023
Less: Accumulated Depreciation		(94,390)

PROPERTY & EQUIPMENT, NET 158,633

Trademark(Note 5)		4,474
Less: Accumulated Amortization		(3,789)

INTANGIBLE ASSETS, NET 685

OTHER ASSETS

Deposits		37,088

TOTAL OTHER ASSETS 37,088

TOTAL NON CURRENT ASSETS 196,406

TOTAL ASSETS \$ 22,726,889

GRANULES USA, INC
BALANCE SHEET
AS OF MARCH 31, 2017



LIABILITIES & STOCKHOLDERS' EQUITY

CURRENT LIABILITIES

Accounts Payable	\$	21,236,718
Accrued Expenses		15,000
Accrued Payroll		38,622
Credit Card Payables		558
Provision for Taxes		353,674
Provision for Other expenses		15,375

TOTAL CURRENT LIABILITIES		21,659,947
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LONG TERM LIABILITIES

Deferred Tax Liability (Note 9)		43,548
Loans and Advances		36,825

TOTAL LONG TERM LIABILITIES		80,373
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TOTAL LIABILITIES		21,740,320
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STOCKHOLDERS' EQUITY

Authorized and issued capital		
Common Stock: \$0.10 Par Value, 2,500,000 Shares Authorized, 700,000 Issued and Outstanding		70,000
Additional Paid In Capital		180,000
Retained Earnings		736,569

TOTAL STOCKHOLDERS' EQUITY		986,569
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TOTAL LIABILITIES & STOCKHOLDERS' EQUITY	\$	22,726,889
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GRANULES USA, INC
STATEMENT OF INCOME
FOR THE YEAR ENDED MARCH 31, 2017



REVENUE

Sales & Service Revenue, net \$ 59,192,972

Cost of Goods Sold (Schedule A) 53,919,051

GROSS PROFIT 5,273,921

Selling, General & Administrative Expenses (Schedule B) 4,394,880

OPERATING INCOME 879,041

Other Income 2,334

INCOME BEFORE INCOME TAX 881,375

Income Tax Expense (Note 9) 381,956

NET INCOME \$ 499,419

GRANULES USA, INC
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
FOR THE YEAR ENDED MARCH 31, 2017



	<u>Common Stock</u>		<u>Additional</u>	<u>Retained</u>	<u>Total</u>
	<u># of Shares</u>	<u>Amount</u>	<u>Paid in Capital</u>	<u>Earnings</u>	<u>Stockholders'</u> <u>Equity</u>
BALANCE, MARCH 31, 2016	700,000	\$ 70,000	\$ 180,000	\$ 257,819	\$ 507,819
Prior Period Adjustment				(20,669)	(20,669)
MARCH 31, 2016, RESTATED	700,000	70,000	180,000	237,150	487,150
Net Income				499,419	499,419
BALANCE, MARCH 31, 2017	700,000	\$ 70,000	\$ 180,000	\$ 736,569	\$ 986,569

GRANULES USA, INC
STATEMENT OF CASH FLOWS
AS OF MARCH 31, 2017



CASH FLOWS FROM OPERATING ACTIVITIES

Net Income	499,419
Adjustment to reconcile Net Income to Net Cash Provided by Operating Activities:	
Depreciation	36,576
Bad debts	3,789
Amortization	298
(Increase) decrease in operating Assets:	
Accounts Receivable, Net of allowances	(2,568,523)
Inventory	1,779,676
Advances & Prepaid Expenses	5,047
Increase (decrease) in operating Liabilities:	
Accounts Payable	52,034
Accrued Expenses	(18,674)
Accrued Payroll	(46,162)
Credit Card Payables	(1,122)
Provision for Taxes	270,891
Provision for Other expenses	15,375
Deferred tax Liability	14,435
Total Cash Provided by Operating Activities	43,059

CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of Property and equipment	(43,830)
Net Cash Used by Investing Activities	(43,830)

CASH FLOWS FROM FINANCING ACTIVITIES

Loans and Advances	(1,285,175)
Net Cash Used by Financing Activities	(1,285,175)

NET DECREASE IN CASH	(1,285,946)
CASH, beginning of year	2,758,299
CASH, end of year	\$ 1,472,353

Note 1 - Nature of Business

Granules USA, Inc (“Granules” and “the Company”) was incorporated on March 5, 2003 in Delaware. Granules is a wholly owned subsidiary of Granules India Limited) “GIL”, a company incorporated in India.

Granules acts as an exclusive front-end value chain for GIL and develop markets for the products manufactured by GIL. The business of GIL comprises of manufacture and sale of pharmaceutical products.

Note 2 - Summary of Significant Accounting Policies

Basis of Accounting

The Company uses the accrual method of accounting in accordance with accounting principles generally accepted in the United States of America.

The accompanying financial statements for the period April 1, 2016 to March 31, 2017 are prepared in accordance with the Statements on Standards for Accounting and Review Services, issued by the American Institute of Certified Public Accountants.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Estimates are used in accounting for, among other things, unbilled receivables, and allowances for uncollectible receivables, depreciation and taxes.

Cash

Cash consists of cash in bank account.

Accounts Receivable

Accounts Receivables are recorded at the invoiced amount. Accounts receivables are uncollateralized customer obligations and are stated at the amount billed. Payments of accounts receivables are allocated to the specific invoices identified on the customer’s remittance advice. The Company extends credit to its customers in the normal course of business. The Company performs ongoing evaluation of its

existing receivables and evaluation of periodic ageing of the accounts to estimate allowance for potential credit losses.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets. Estimated useful lives are as follows:

Computers	3 to 5 years
Equipment	3 to 7 years
Furniture and fixtures	3 to 7 years
Vehicles	5 years
Improvements	15 years

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation is removed from the accounts and the resulting gain or loss on disposal is reflected in the financial statements. Expenditures for major renewals and betterments that extend the useful life of the property and equipment are capitalized. Expenditures for minor repairs and maintenance are charged to expense as incurred.

Intangible assets

Intangible assets consist of Patents and Trademarks. Intangible assets are carried at cost less accumulated amortization. Amortization is computed over the estimated useful live of the respective assets, generally fifteen to twenty years on a straight line basis. Estimated useful lives of the intangible assets are 15 years.

Impairment of Long-lived Assets

The Company reviews the long-lived tangible and intangible assets for impairment whenever events or changes in circumstances indicate that the carrying values may not be recoverable from the estimated future cash flows expected to result from the asset's use and eventual disposition. If such review indicates the carrying amount of an asset is not recoverable, the carrying amount is reduced to its estimated fair value and the reduction is recognized as a loss on asset impairment. Fair value of long-lived tangible and intangible assets is estimated by management based on reasonable and supportable assumptions. No impairment losses were recorded for the year ended March 31, 2017.

Leases

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense based on the lease agreement in the period it is incurred.

Revenue and Cost Recognition

Customers of the Company consist primarily of large pharmaceutical companies. Revenue from product sales is recognized when merchandise is shipped to customers and all the four of the following criteria are met: (i) persuasive evidence that an arrangement exists; (ii) delivery of the products has occurred; (iii) the selling price is both fixed and determinable and; (iv) collectability is reasonably probable.

Provisions for sales discount, damaged product returns, exchanges of expired products are established as a reduction of product sales revenue at the time such revenues are recognized. Certain charge backs and rebate programs extended to customers pursuant to the industry standards, are recognized as a reduction from product sales revenues at the time of shipment.

Research and development

Research and development costs are expensed when incurred. Expenditure for obtaining regulatory approvals and registration of products is charged to revenue when incurred. During the period April 1 2016 to March 31 2017, the Company incurred \$104,546 for expenses on Research.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) "Accounting for Income Taxes", which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

Recent Accounting Pronouncements

In May 2014, FASB issued Accounting Standards update ("ASU") No. 2014-09, *Revenue from Contracts with Customers*. ASU No. 2014-09 provides comprehensive guidance on the recognition of revenue from customers arising from the transfer of goods and services. The ASU also provides guidance on accounting for certain contract costs, and requires new disclosures. ASU No. 2014-09 is effective for annual reporting periods beginning after December 15, 2017. Early adoption is permitted only for annual reporting periods beginning after December 15, 2016. The Company is evaluating the effect of the ASU on its financial statements.

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Subsequent Events

The Company has evaluated subsequent events through May 2, 2017, which is the date the Company's financial statements were issued and found no material subsequent event occurred that requires disclosure.

Note 3 – Inventories

Inventories consist mainly of products purchased from GIL, and are stated at cost plus freight charges. As of March 31, 2017 the Inventory is stated at \$7,881,149.

Note 4 – Property and Equipment

As of March 31, 2017, property and equipment, net consist of the following:

Automobile	\$	45,970
Furniture and Fixtures		63,142
Leasehold improvements		26,952
Pharmaceutical equipment		65,309
Office equipment		51,650
Less: Accumulated Depreciation		<u>(94,390)</u>
Net Book value	\$	<u>158,633</u>

Depreciation expense for the year ended March 31, 2017 totaled to \$ 36,576

Note 5 – Intangibles

As of March 31, 2017, net Intangibles consist of the following:

Trademarks	\$	4,474
Less: Accumulated Amortization		<u>(3,789)</u>
Net Book value	\$	<u>685</u>

Amortization expense for the year ended March 31, 2017 totaled \$ 298.

Note 6 – Concentration in Risk

Cash on deposit with financial institutions is insured by the Federal Deposit Insurance Corporation up to \$250,000 for all deposit accounts with each financial institution. The balance as of March 31, 2017 is \$ 1,472,353.

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Accounts Receivable and Sales

The Company performs ongoing credit evaluations of its customers and maintains allowances for potential uncollectible accounts as deemed necessary. The Company generally does not require collateral to secure its accounts receivable. It estimates credit losses based on management's evaluation of historical experience and current industry trends. Although the Company expects to collect amounts due, actual collections may differ from the estimated amounts. As of March 31, 2017 the accounts receivable balance is \$13,150,845. There is no allowances for bad debts as of March 31, 2017.

Losses are written off when determined to be uncollectible. The Company has written off bad debts of \$ 3,789 for the period April 1, 2016 to March 31, 2017.

The Company's revenues and accounts receivable from its major customers as of March 31, 2017 are as follows:

<u>Clients</u>	Revenue	Accounts Receivable
	<u>% of Total</u>	<u>% of Total</u>
A	47%	38%
B	14%	23%
C	8%	9%

Note 7 - Related Party Transactions

The company has entered transactions of purchasing and selling pharmaceutical products from its parent Company Granules India Limited, India and with its related party Granules Pharmaceuticals Inc, USA. Details of the transactions between the company and its related parties for the year ended March 31,2017 are as follows.

Granules India Limited	Amount
Cost of Products	\$ 50,440,442
Accounts Payable	20,956,761

Granules Pharmaceuticals Inc	Amount
Sales	\$ 17,050
Reimbursable expenses	29,055
Accounts receivable	19,111

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Note 8 – Commitments under Operating Lease

The Company leases the premises under the long term operating lease arrangement. The Company entered into a lease for the new premises on November 1, 2014 for a lease period of 88 months. During the year, the rent expense for office space was \$146,891, which included \$33,121 rent for an apartment in New York City.

The future basic lease payments under this operating lease agreement are as follows:

Period	Annual Rate
April 2017 - October 2017	\$ 45,150
November 2017- October 2018	79,012
November 2018- October 2019	80,625
November 2019- October 2020	82,238

The Company has entered into guest house lease agreement with 605 West 42nd Owner LLC on May 27, 2016 for a lease period of October 2016 to September 30, 2017 with a monthly rent of \$6,700. During the year, the rent expense for apartment lease was \$35,280.

Note 9 - Income Taxes

The Company accounts for income taxes under the provisions of FASB ASC 740, "Accounting for Income Taxes". Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

All of the income before tax as shown in the statement of income for the period ended March 31, 2017 is derived in the United States.

The components of tax expense relating to earnings from operations are as follows:

		03/31/2017
<u>State</u>		
Current	\$ 76,811	
Deferred	2,147	\$ 78,958
<u>Federal</u>		
Current	\$ 290,710	
Deferred	12,288	\$ 302,998
Total Taxes		\$ 381,956

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



The components of deferred tax assets as on March 31, 2017 are as follows:

		03/31/2017
<u>Deferred Tax Liability:</u>		
<u>Depreciation</u>		
State	\$ 6,477	
Federal	37,071	\$ 43,548
Net Deferred Tax Liability		\$ 43,548

Note 10 – Stockholder’s Equity

The Company had an authorized capital of 2,500,000 shares of its common stock, at \$0.10 par value per share at the beginning of the year. The Company had 700,000 common stocks issued and outstanding as of March 31, 2017. There were no shares issued during the year ended March 31, 2017.

Note 11 – Prior period adjustment

Certain errors arising from cut off procedures for the prior years were discovered during the current year. Accordingly, the Company has accounted for Prior period adjustments as per FASB ASC 250 “*Accounting Changes and Error Corrections*”, for the year ending March 31, 2017. Accordingly, the following adjustments were made to correct these errors:

The opening retained earnings as of April 1, 2016 were restated to decrease by \$20,669 and professional fees- consultant were reduced by the same.

Note 12 – Contingencies

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company’s activities as IT consultants. Legal reserves are established in accordance with FASB ASC 450 (formerly known as SFAS No. 5), “*Accounting for Contingencies*”. Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change. There are no legal reserves in the statement of financial condition as of March 31, 2017.

GRANULES USA, INC
SCHEDULE A
COST OF GOODS SOLD
FOR THE YEAR ENDED MARCH 31, 2017



Beginning Inventory	\$	9,660,825
Cost of Goods Sold		51,377,413
Customs and Duty		131,315
Demurrage		14,813
Freight		270,938
Freight:Container PU		81,705
Freight:Delivery		23,803
Manufacturing		3,614
Storage		235,774
Less: Ending Inventory		<u>(7,881,149)</u>
 TOTAL COST OF GOODS SOLD	 \$	 <u><u>53,919,051</u></u>

GRANULES USA, INC**SCHEDULE B****SELLING, OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE YEAR ENDED MARCH 31, 2017**

Accounting Fees	\$ 17,000
Administrative Fees	1,522
Advertisement	4,200
Amortization	298
Bad Debts	3,789
Bank Service Charges	3,227
Commission	38,996
Depreciation Expense	36,576
Dues & Subscription	4,184
Employees Benefits	23,722
Equipment Rental	3,025
Exhibitions & Tradeshow	53,524
Fees & Licenses	6,460
Insurance	423,114
Interest	7,416
Legal & Professional Expenses	64,207
Maintenance	2,226
Scrap	60,537
Marketing	243,596
Miscellaneous	2,791
Office Expenses	3,179
Consulting Services	297,216
Payroll Expenses	1,925,280
Payroll fees	9,267
Penalty	2,119
Postage & Delivery	34,248
Product Testing	74,502
Research & Development	104,546
Recruitment charges	44,061
Rent	146,891
Regulatory	96,410
Selling & Distribution	270,146
Seminars & Conferences	6,250
Software	9,369
Staff Welfare	3,121
Supplies	20,874
Taxes - Payroll	136,280
Other Taxes	532
Telephone	19,038
Travel Expenses	191,141
TOTAL SELLING, OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES	<u><u>\$ 4,394,880</u></u>